

Biorefinery begins operating

The start-up of the biorefinery in Gothenburg began at the end of the year. The biorefinery has a total annual production capacity of approximately 200,000 tonnes of liquid biofuel. SCA's 25% ownership corresponds to 50,000 tonnes, equivalent to the total fuel requirements of domestic flights in Sweden. A substantial part of the raw material for the refinery is tall oil from SCA's kraft pulp production.

Biofuels made from sustainable raw materials play a key role in the climate transition. Many countries require the admixture of biofuel to vehicle and aviation fuel, and demand will exceed supply for the foreseeable future.

SCA is preparing a major biofuel investment at the Östrand pulp mill. An environmental permit was received for production based on solid biomass, such as sawdust and bark. Land reclamation is currently underway beside the site to prepare space for a potential future plant.

Strong market for biofuels

SCA is one of the largest suppliers of forest-based biofuels in Sweden, with unrefined by-products from the forest and industry, as well as refined fuels in the form of pellets.

Russia's invasion of Ukraine has led to a fuel shortage in Europe and prices and demand have thus increased.

In 2023, SCA produced 11.1 TWh of bioenergy. 9.3 TWh were used in SCA's own plants and 1.8 TWh were delivered to external customers. Of the external deliveries, 0.7 TWh consisted of processed biofuels, meaning wood pellets, 0.6 TWh was unprocessed biofuels, meaning bark, sawdust and by-products from harvesting, and 0.5 TWh was district and waste heat. SCA's production capacity at fully or partially owned plants is more than 300,000 tonnes of pellets per year. During the year, a new pellets plant adjacent to the Rundvik sawmill began operating. The investment will also shorten transport distances to the new fossil-free energy plant at the Obbola paper mill.



Renewable energy throughout SCA's operations.

Capacity

BIONORR, HÄRNÖSAND

Pellets: 180,000 tonnes/year (880 GWh)

TUNADAL, SUNDSVALL

Integrated with Tunadal sawmill

Pellets: 12,000 tonnes/year (60 GWh)

STUGUN, RAGUNDA

Integrated with Stugun planing mill

Pellets: 24,000 tonnes/year (120 GWh)

RUNDEVIK, NORDMALING

Integrated with Rundvik sawmill

Pellets: 25,000 tonnes/year (120 GWh)

BIOENERGI I LULEÅ AB

Joint venture with Luleå Energi AB

Pellets: 100,000 tonnes/year (490 GWh)

GOTHENBURG BIOREFINERY

Joint venture with St1

Biofuels: 200,000 tonnes/year (2025)

SKOGBERGET WIND FARM

Wind power: 200 GWh/year

FASIKAN WIND FARM

Wind power: 330 GWh/year (2026)

Strategy

Wind power

- Invest in SCA's own wind power production to achieve a high degree of self-sufficiency in electricity.
- Develop a project portfolio for divestment or investment.
- Maximize wind power on SCA's land and increase lease income.

Liquid biofuels

- Realize the full potential of the biorefinery in Gothenburg.
- Develop opportunities for a possible biorefinery adjacent to Östrand.

Solid biofuels

- Optimize production, product portfolio and profitability.
- Guarantee access to feedstock fuel.

Financial key figures

SEKm	2023	2022
Revenue ¹⁾	1,879	1,550
EBITDA	690	355
EBITDA margin, % ²⁾	36.7	22.9
Operating cash flow	609	364
Strategic capital expenditures	350	835
Capital employed	2,167	1,871
Return on capital employed, %	32.1	36.9
Deliveries, renewable electricity own wind power, GWh	149	0
Average number of employees	68	61

¹⁾ Revenue consists of net sales and other operating income.

²⁾ EBITDA as share of revenue.